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BUS7C2

Finance and Accounting for Business

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Lecture 6: Corporate Cashflow

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Learning Objective

At the end of this lecture; students will:

1. **Critically evaluate** the importance of cash flow in assessing a company's liquidity and solvency.
2. **Differentiate** between operating, investing, and financing activities in accordance with IAS 7.
3. **Construct** basic cash flow statement (extracts) arising from operating, investing, and financing activities from transactional data.
4. **Appraise** contemporary trends and issues in corporate cashflow management.

Income, Balance Sheet & Cash Flow Statements

Mandated by *IAS 1* as components of “*a complete set of financial statements*”

	Income Statement	Balance Sheet Statement	Cash Flow Statement
Objective	<i>Profitability</i>	<i>Valuation</i>	<i>Liquidity</i>
Time Frame	Defined period ~ a month ~ a quarter ~ a year	Point-in-Time; a Snapshot ~ last day of a month ~ last day of a quarter ~ last day of a year	Defined period ~ a month ~ a quarter ~ a year
Key Variables	Revenue Expenses Net Income	Assets Liabilities Equity	Cash Inflow Cash Outflow
Accounting Principle	Accruals	Accruals	Cash
Starts With	Revenue	Fixed Assets	Net Income
Ends With	Net Income	Net Assets	Cash Balance

What Is Cash Flow?

IAS 7 Definition

Cash flows are the inflows and outflows of cash and cash equivalents.



CASH

- Currency held
- Bank balances (demand deposits)



CASH EQUIVALENTS

- Short-term investments (3 months or less)
- Highly liquid
- Low risk of value change (e.g. Treasury bills)

Operating
Activities

Investing
Activities

Financing
Activities

- ❑ Shows how cash and cash equivalents move in and out of the business.
- ❑ Mandatory for both listed and unlisted companies.
- ❑ Highlights cash performance beyond accounting profit.
- ❑ Reveals liquidity and solvency by focusing on cash sources and uses.

Why Cash Matters

1. Ensures Operational Continuity

Provides liquidity to cover routine expenses such as payroll, rent, and utilities.

2. Reduces Financial Vulnerability

Minimises dependency on external finance during shortfalls.

3. Supports Strategic Growth

Enables timely investment in expansion, technology, or talent acquisition.

4. Strengthens Stakeholder Confidence

Facilitates punctual payments, boosting credibility with suppliers and lenders.

5. Enhances Resilience

Serves as a buffer against unforeseen events or market downturns.

6. Enables Agile Decision-Making

Clear visibility of cash flow promotes responsive and informed choices.

7. Improves Access to Finance

Healthy cash position enhances creditworthiness and funding prospects.



“Never take your eyes off the cash flow because it’s the lifeblood of business.”

– Sir Richard Branson

Profit is secondary. Cash flow matters most.

– Peter Drucker

“Cash flow was not regularly discussed... we were running out of gas.”

– Michael Dell

Understanding Cash Flow (IAS 7)

Definitions

- **Cash Flows:** Inflows and outflows of *cash* and *cash equivalents*
- **Cash:** Currency held + demand deposits
- **Cash Equivalents:** Short-term (≤ 3 months), highly liquid investments with minimal risk of value change

Types of Activities

Activity	What It Includes
 Operating	Main business activities (e.g. sales revenue, employee payments)
 Investing	Buying/selling long-term assets or other investments (e.g. PPE, shares)
 Financing	Changes in equity and debt (e.g. share issues, dividends, loans)

Examples by Category

Operating:

- Receipts from sales, royalties, commissions
- Payments to suppliers and employees

Investing:

- Buy/sell property, intangible assets, securities
- Interest & dividends received

Financing:

- Issue of shares
- Borrowing changes
- Dividends paid

Cash Flow From Operating Activities : Example

Hail plc commenced trading on 1 January 20X7 following a share issue which raised £35,000.

During the year the company entered into the following transactions:

- Purchases from suppliers were £19,500, of which £2,550 was unpaid at the year end.
- Wages and salaries amounted to £10,500, of which £750 was unpaid at the year end.
- Sales revenue was £29,400, including £900 receivables at the year end.

What is the cash generated from Hail Plc's operation for year 20X7?

Cash Flow From Operating Activities : Example

Gross operating cash flows for the year ended 31 December 20X7 (*Direct Method*)

	£
Cash received from customers (29,400 – 900)	28,500
Cash paid to suppliers and employees (<i>see working below</i>)	(26,700)
Cash generated from operations	<u>1,800</u>

IAS 7 allows two possible layouts for *cash generated from operations*:

- ***the indirect method***
- ***the direct method***

The direct method is preferred by IAS 7, as it is more easily understood by the users, but is not compulsory.

WORKING	£
Cash paid to suppliers (19,500 – 2,550)	16,950
Cash paid to and on behalf of employees (10,500 – 750)	9,750
Cash paid to suppliers and employees	26,700

Using the **indirect method**, cash generated from operations is calculated by performing a reconciliation between:

- profit/(loss) before tax as reported in the statement of profit or loss
- cash generated from operations

Cash Flow From Investing Activities : Example

Pearl plc acquired a new 'green' factory in the year to 30 June 20X6 for a cost of £805,000. It sold its old factory for £425,000. It also received interest on surplus funds of £350,000

Calculate net cash flows from investing activities?

Cash flows from investing activities	£
Purchase of property, plant and equipment	(805,000)
Proceeds from sale of property, plant and equipment	425,000
Interest received	350,000
Net cash used in investing activities	(30,000)

Activity	Cash Flow Direction	Description
Purchase of non-current assets (PPE, intangibles)	Outflow	Includes capitalised development or self-constructed assets
Sale of non-current assets	Inflow	Proceeds from disposing of PPE or intangibles
Acquisition of equity/debt instruments	Outflow	Buying shares, bonds, or other investments in external entities
Sale of equity/debt instruments	Inflow	Proceeds from selling investments
Interest received	Inflow	Returns earned from investments in debt instruments
Dividends received	Inflow	Earnings received from equity investments

Cash Flow From Financing Activities

Cash Flows from Financing Activities – IAS 7

- **Purpose:** Shows how the entity raises capital and repays external financiers
- **Significance:** Reflects the proportion of cash claimed by capital providers (e.g. lenders and shareholders)
- **Insight:** Indicates potential future cash obligations such as **interest payments** and **dividends**
- These activities result in changes to the **equity structure** and **capital obligations**

Typical Cash Flows Include:

-  **Proceeds from issuing shares or other equity instruments**
-  **Cash payments to owners** (e.g. dividends paid)
-  **Proceeds from new borrowings** (e.g. bank loans, bonds)
-  **Repayment of borrowings**, including lease liabilities under IFRS 16
-  **Payment of interest**, if classified under financing in accordance with policy choices
-  **Redemption of shares or repayment of equity**

Cash Flow From Financing Activities : Example

Spear plc issued 87,500 £1 shares at par during the year to 31 December 20X6. Loans taken out increased from £18,000 at the beginning of the year to £30,000 at the end of the year. The company declared a dividend of 10p per share.

Calculate net cash flows from financing activities?

	£
Proceeds from issue of shares	87,500
Movements in borrowings	12,000
Net cash from financing activities	99,500

Cash Flow Statement : *Greggs Plc*

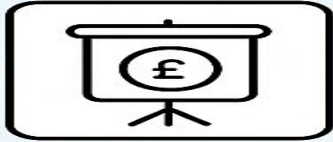
STATEMENTS OF CASH FLOWS

FOR THE 52 WEEKS ENDED 28 DECEMBER 2024 (2023: 52 WEEKS ENDED 30 DECEMBER 2023)

		Group and Parent Company	
	Note	2024 £m	2023 £m
Operating activities			
Cash generated from operations		352.6	333.0
Income tax paid		(27.7)	(11.9)
Interest paid on lease liabilities	6	(13.0)	(9.6)
Interest paid on borrowings and other related charges	6	(1.0)	(0.7)
Net cash inflow from operating activities		310.9	310.8
Investing activities			
Acquisition of property, plant and equipment		(230.0)	(189.5)
Acquisition of intangible assets		(10.9)	(8.6)
Proceeds from sale of property, plant and equipment		16.1	0.8
Interest received	6	7.7	6.1
Net cash outflow from investing activities		(217.1)	(191.2)
Financing activities			
Proceeds from issue of share capital		-	2.0
Sale of own shares		4.7	1.6
Purchase of own shares		(5.0)	(5.0)
Dividends paid		(106.8)	(60.8)
Repayment of principal on lease liabilities		(56.7)	(53.7)
Net cash outflow from financing activities		(163.8)	(115.9)
Net (decrease)/increase in cash and cash equivalents		(70.0)	3.7
Cash and cash equivalents at the start of the year	17	195.3	191.6
Cash and cash equivalents at the end of the year	17	125.3	195.3

[Greggs plc – Annual Report and Accounts 2024 \(PDF\)](#)

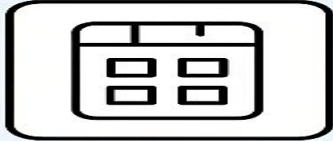
Tips for Managing Cash Flow



Prioritise cash flow planning



Invoice promptly



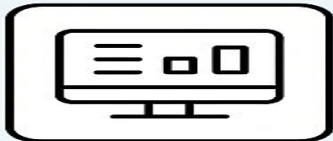
Use cash flow forecasts



Control expenses



Maintain a cash reserve



Utilise accounting software

Cash Flow: Corporate Trends

AP » Cashflow tops concerns for business leaders, PwC survey finds

Cashflow tops concerns for business leaders, PwC survey finds

PwC's annual global CEO survey highlights importance of cash flow forecasting and business reinvention in today's business landscape

[PwC 2024 CEO Survey](#)

- **61%** of small businesses have experienced cash flow issues, with **32%** unable to pay themselves or employees at some point — *Intuit QuickBooks Global Study*
- **87%** of *Qubitstats* clients avoided potential cash shortages in 2024 using real-time alerts and predictive dashboards
- **33%** of finance leaders faced internal operational risks (e.g. fraud, system breakdowns) impacting cash flow in 2025 — *Panax Survey*

Chartered Institute For Securities & Investment Oct 18 2024

'Cash flow planning is where the value lies'



(L-R, Gabby Butten, Andrew Elson, Jeremy Brett and Adam Leci)

Alina Khan



Cashflow planning sits at the very heart of proper financial planning and is where the value lies, according to panellists at the CISI Financial Planning Conference 2024.

[FT Adviser 2024](#)

Thank you, very much!

Any questions?



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